

Lab-Grown Diamond Business — Distribution Structure & Operating Design

Internal memo for cofounders. Summarizes the working design for our sales structure, after-sales architecture, factory relationship, and the legal guardrails we need to respect. Numbers used here are illustrative working figures from our discussion, not final pricing.

1. What we are building (and what we are not)

The model is a **brand + two-tier authorized dealer network**. We source finished lab-grown diamond jewelry from a partner factory in China, route it through our California warehouse, and sell wholesale to independent dealers who sell to end consumers. We are the importer, brand owner, and master distributor — not the retail sales force.

Two legal red lines shape everything below, and they are non-negotiable:

No MLM mechanics. Dealer income must come exclusively from selling product to real end consumers — never from recruiting other dealers. Tier qualification is based on **purchase volume**, not headcount, and there is no buy-in requirement, no starter-kit purchase, and no reward of any kind for bringing in another seller. Dealers may happen to be former customers (our first two are), but "buy once and become a dealer" must never be a designed pathway — dealer status is a separate application we approve. If income ever depends on recruitment, we are in FTC pyramid-scheme territory.

No mandated retail prices. We initially wanted to require a uniform selling price. We cannot: vertical price-fixing is per se illegal under California's Cartwright Act (stricter than federal law, and we are a California company). The industry-standard substitutes accomplish most of the same goal legally: a published **MSRP** (suggested, not mandated), a **MAP policy** restricting *advertised* prices rather than transaction prices, and if needed a unilateral Colgate-style policy ("we stop supplying dealers who advertise below X") drafted by counsel. A distribution/antitrust lawyer must review the dealer agreement before we sign anyone beyond the pilot.

2. Tier structure

Two dealer tiers with different wholesale prices (working example: Tier 1 at \$2,250-equivalent, Tier 2 at \$2,500-equivalent on a piece retailing around \$4,000 for the stone). Qualification is purely volumetric — e.g., a dealer reaching a defined quarterly purchase volume moves to Tier 1 pricing, and drops back after two quarters below threshold. This gives dealers a growth incentive without inventory loading, and it is clean from a regulatory standpoint.

Because metal is now a material share of cost, **pricing splits into two components**: the stone carries a fixed wholesale price per tier, while the metal portion floats — quoted as

gram weight × spot gold price on order date plus labor. We do not hold gold inventory and do not hedge, so locking an all-in price would expose us fully to gold volatility.

3. Money and goods flow

Dealers are the merchant of record. End buyers pay the dealer directly (dealer's own Stripe or equivalent); the dealer pays us the wholesale price. This means consumer payment disputes and credit-card chargebacks land on the dealer, not us — important because high-ticket jewelry is a chargeback-heavy category. We coach dealers on self-protection: signature-required delivery, full communication records, AVS enabled.

Goods dropship from our CA warehouse to the dealer or directly to the end buyer. We hold no sales inventory; later, a tiny *service* stock (a few high-velocity pieces) supports warranty replacement turnaround. Larger, proven dealers may eventually get **memo/consignment** terms (goods on our books until sold), but pilot dealers are pure dropship.

Every dealer must hold a seller's permit and provide us a resale certificate before their first wholesale order — otherwise we must charge them sales tax, and it doubles as a seriousness filter.

4. After-sales architecture

This was the most detailed part of the design. The principle: split everything into **quality** and **non-quality**, with different owners.

Quality defects — we own them, end to end

Covered: stone not matching certificate, setting defects, stone loss under normal wear within the warranty window, casting flaws, plating failure. Definition and time windows go into the dealer agreement verbatim (e.g., cosmetic defects reported within 7 days of delivery; setting failure within 12 months; scratches, deformation, and anything touched by a third-party jeweler excluded).

Flow: end buyer contacts **only the dealer** (single point of contact); dealer submits photos/video to us; we adjudicate; remedy is **replacement, not repair** — with our cost structure, sending a new piece is almost always cheaper than any repair loop and produces a far better customer experience. **Replacement is conditional on return of the defective piece** (prepaid insured label; or advance replacement for trusted dealers with a chargeback clause if the old piece never arrives).

No cross-border reverse logistics, ever. Defective pieces come back to the CA warehouse, not to China. Salvage happens domestically: returned gold accumulates and goes quarterly to a proper trade refiner (batched lots at a real refiner recover 90%+ of spot, versus ~75% selling piecemeal); stones are unmounted, re-inspected, and return to the sellable loose-stone pool. A defective piece is not a write-off — most of its material cost comes back.

Factory claims are photo-based, against the factory's own cost basis. We never ask the factory to cover US-level labor or US-side costs. Standard remedy is a free **remake** in China: factory bears its own labor and material (a manufacturing defect is the supplier's full

liability — this is normal OEM practice), and we credit them the salvage value of the old piece by a fixed formula (e.g., recovered gold weight × spot × 75%, offset against the next invoice). One formula agreed once beats negotiating every incident — especially important because the factory owner is a friend; the friendship is the reason to put it in writing, not a reason to skip it. Fallback if the factory resists full liability: we absorb metal-spread losses up to a 1% annual defect rate; everything above 1% is on them. Later, at scale, a 3–5% payment holdback settled against actual batch defect rates replaces case-by-case credits.

US-side incidentals (domestic shipping, local repair labor) are **our cost of being the middle layer**, priced into margin as a per-order reserve — at a ~2% defect rate, post-QC interception, this works out to under ~\$5 per order. Claiming them upstream would blow up an otherwise easy negotiation.

Non-quality returns — the dealer's domain, with our recommended policy

Dealers set their own return terms, but the handbook recommends (and the brand floor requires sanity):

- **Made-to-order / customized pieces** (buyer-selected stone, setting, size, engraving): **Final Sale**, conspicuously disclosed pre-purchase, quality defects excepted. This is standard industry practice and covers most high-ticket orders. Honest final-sale beats any disguised version — California law (Civil Code §1723) permits any return policy *if clearly disclosed before purchase*, but a punitive restocking fee dressed up as a "return policy" loses chargebacks and burns the brand.
- **Standard catalog pieces**: 30-day returns with a ~**20% restocking fee**, or fee-free exchange / store credit. The math: on a \$3,500 sale our true loss on a return is roughly the labor plus the gold spread (gold recovers ~75%, the stone mostly returns to inventory) — about \$625, so 20% covers it with buffer. The fee must be stated as a concrete number/percentage upfront; "we'll calculate based on internal metal value" is unenforceable in a dispute.

Sizing is prevented, not serviced. We mail a plastic ring sizer (sub-\$1 cost) before order confirmation; product pages flag non-resizable styles (eternity bands, tension settings). Resizing itself is the buyer's responsibility via local jewelers — abundant and cheap in the US — with one critical written rule: **third-party work voids the setting/metal warranty** (the stone warranty survives). Without that clause, every botched local resize comes back to us.

Warranty as a product, not just a cost

Good QC does not eliminate warranty demand, because most jewelry after-sales is **time-delayed**: prongs loosen with wear, rhodium plating on white gold wears through in 1–2 years (a near-universal maintenance need, not a defect), casting porosity and weak solder joints pass visual inspection and fail months later, clasps break. Competitors at our price point offer lifetime manufacturing warranties; offering nothing makes the product unsellable.

The design: a **12-month manufacturing-defect warranty** as the floor (we bear it, claims flow through to the factory); all wear-and-maintenance items (replating, polishing, prong tightening) become **paid services** executed through a local bench-jeweler network (LA jewelry district trade shops), priced transparently — dealers can even make a small margin here. Optional upgrade worth piloting: *lifetime warranty conditional on a free annual inspection* — the inspection intercepts stone loss before it happens and structurally brings the customer back to the dealer once a year. It converts a cost center into a retention mechanism.

5. QC

Pre-shipment **full inspection in China** (third-party or our own hire): setting check, certificate match, gram-weight verification, per-piece photos. The CA warehouse then does a light incoming check against the photo record. The economics justify it heavily: a defect intercepted in the warehouse costs one photo emailed to the factory; the same defect reaching an end buyer costs a \$400-700 event. The per-piece photo archive is also our evidence file against chargebacks and "arrived damaged" disputes. Note the tradeoff this creates: factory-direct dropship to dealers would save a few days of transit but removes this checkpoint — at current per-event losses, routing through CA wins.

6. Customer data — we hold it, we don't use it

Full isolation from end-buyer data would leave us unable to execute a recall or certificate correction and blind to repeat-purchase behavior; full sharing makes dealers fear channel bypass. The bridge is **warranty registration**: every sale requires the end buyer's name and contact to activate the warranty (a reason no dealer objects to), and the dealer agreement commits in writing that we will never market directly to a dealer's registered customers, with stated remedies for breach. Data sovereignty sits with us; the customer relationship stays with the dealer.

7. Compliance items that flow downstream

FTC Jewelry Guides require clear "laboratory-grown" disclosure in all product descriptions and marketing — ours and every dealer's. The dealer agreement makes this an explicit obligation with termination rights, because a dealer blurring the natural/lab line creates liability that reaches us. Every stone ships with its IGI (or equivalent) certificate — table stakes at this price point. Import side: confirm importer-of-record setup and current tariff treatment for China-origin lab-grown goods with a customs broker before scaling (rates have moved a lot; this directly affects our cost advantage).

8. Pilot plan and founder roles

Our first two dealers are the two friends who bought from us. They run through the **full formal process** — one-page dealer agreement, seller's permits, resale certificates, their own payment accounts — precisely because the pilot exists to debug the machinery, and because high-ticket business between friends needs paper more, not less. The one-pager

covers: tier pricing and volume thresholds, MSRP/MAP rules, the quality/non-quality after-sales split, FTC disclosure duty, and data terms.

On us three: selling directly right now is correct (we needed the first orders to map the flow), and our presence in different cities and communities gives natural, conflict-free early channels. But the long-term goal is that **founders recruit and manage dealers, not close retail sales**. We should set a concrete handoff trigger now — e.g., once a founder's city has three dealers each producing steady orders, that founder stops taking retail orders — otherwise "founder closes one more deal" remains the path of least resistance forever and the network never grows.

9. Open items

Counsel review of the dealer agreement and MAP policy (antitrust + distribution law); written purchase agreement with the factory (defect definition and claim window, remake terms and salvage-credit formula, defect-rate escalation threshold, certificate responsibility); customs broker confirmation on tariffs and importer of record; refiner selection for batched gold salvage; bench-jeweler partner in LA; dealer handbook v1 (return policy templates, chargeback hygiene, disclosure language, service price list).